Insurance Fundamentals

Government of India

Finance Minister → A Finance Minister is a high-ranking government official who leads the Ministry of Finance and manages a country's entire economy and financial system.

Key Responsibilities of a Finance Minister

1. Drafting the National Budget: They plan and present the annual budget, deciding how much money the government will collect through taxes and how that money will be spent on infrastructure, health, education, and defense.
2. Managing Taxation: They design tax policies, including income tax, corporate tax, and goods and services taxes, balancing the need to generate government revenue without overburdening citizens.
3. Controlling Public Debt: When a government spends more than it earns, the Finance Minister manages borrowing from international institutions, foreign investors, or domestic markets.
4. Economic Policy Formulation: They work alongside the central bank (like the Reserve Bank of India or the Federal Reserve) to control inflation, promote job growth, and maintain steady economic development.
5. Representing the Nation Internationally: They represent their country at major global economic forums, such as the International Monetary Fund (IMF), the World Bank, and G20 summits.

Regulatory Bodies of Finance Ministry are →

1. **Reserve Bank of India (RBI):** Acts as the central bank, controls monetary policy, and regulates commercial banks and the overall banking sector.
   The RBI controls :
   Banking Sector: Controls all public, private, foreign, cooperative, and rural banks.
   Monetary Policy: Manages interest rates, inflation, and money supply.

Currency Management: Issues currency notes and manages India’s foreign exchange (Forex) reserves.
Digital Payments: Regulates payment systems like UPI, NEFT, RTGS, and digital wallets.

2. **Securities and Exchange Board of India (SEBI):** Oversees the capital and securities markets, stock exchanges, mutual funds, and protects investor interests.

   The SEBI controls :

   - Stock Markets: Regulates stock exchanges (like BSE and NSE) and commodity markets.
   - Listed Companies: Enforces disclosure rules to protect retail investors from fraud.
   - Investment Vehicles: Oversees mutual funds, venture capital, and portfolio managers.

3. **Insurance Regulatory and Development Authority of India (IRDAI):** Regulates and licenses the insurance and reinsurance industries to protect policyholders.

   The IRDAI controls :

   - Insurance Companies: Licenses and regulates life, health, and general insurance providers.
   - Policyholder Protection: Sets rules for claim settlement processes and pricing fairness.
   - Intermediaries: Controls insurance agents, brokers, and web aggregators.

These are primary.

More are →

4. **Pension Fund Regulatory and Development Authority (PFRDA):** Promotes and regulates the pension sector, including the National Pension System

(NPS).
The PFRDA controls :

- Pension Schemes: Administers and regulates the National Pension System (NPS) and Atal Pension Yojana (APY).
- Pension Funds: Oversees the institutions managing citizens' retirement wealth.

5. **Insolvency and Bankruptcy Board of India (IBBI):** Oversees the handling of insolvency proceedings and bankruptcy cases for companies and individuals.

   The IBBI controls :

   - Bankruptcy Procedures: Regulates the corporate insolvency resolution process (CIRP) under the IBC code.
   - Distressed Assets: Oversees the liquidation of failing businesses and individual defaults.
   - Professionals: Licenses Insolvency Professionals (IPs) and agencies that manage distressed companies.

6. **Ministry of Corporate Affairs (MCA):** Administers corporate laws and regulates the functioning of companies and the corporate sector in India.

   The MCA controls :

   - Company Registration: Controls the incorporation, administration, and striking off of all companies and LLPs through the Registrar of Companies (RoC).
   - Corporate Governance: Enforces the Companies Act, accounting standards, and financial auditing rules.

IRDAI

IRDAI stands for Insurance Regulatory and Development Authority of India. IRDAI is the regulator of the Indian insurance sector. Its role is to regulate and develop the insurance industry.

IRDAI oversees Insurance companies, Policyholders/customers, Insurance agents, Insurance brokers, Different types of insurance policies, Claims, Premiums Grievances and complaints to make sure that insurance business is conducted with:

- Fairness
- Transparency
- Ethical practices
- Financial stability
- Policyholder protection

IRDAI was created under the IRDA Act of 1999 and functions as an autonomous authority under the Ministry of Finance, Government of India.

Its overall purpose can be understood through some major goals:

1. Protect policyholders - A person buying insurance should receive fair treatment.
2. Develop the insurance market - IRDAI doesn't only regulate insurers. It also promotes the development of the insurance industry by encouraging:
    - Competition
    - Innovation
    - Better products
    - Better services
    - Digitalization
3. Maintain financial stability - An insurance company needs to remain financially capable of meeting its obligations. Therefore, IRDAI checks aspects such as:
    - Financial health
    - Solvency margins
    - Financial stability

PROTECT → REGULATE → DEVELOP

4. Ensure transparency and fairness - Insurance can involve complicated terms and conditions. So, IRDAI regulates the business so that the insurers follow, transparency, fairness, honest practices. The policyholder should understand what they are purchasing.
5. Regulate premium charges and policy terms - The material states that IRDAI regulates premium charges and policy terms to prevent:
   - Unscrupulous pricing
   - Unaffordability

   Competition is also encouraged so insurers offer competitive premiums.

Functions or IRDAI →

1. Supervision and regulation
2. Protection of policyholders
3. Registration and licensing
4. Regulation of claims settlement
5. Encouraging competition

Insurance →

Insurance is a legal contract that protects you from financial loss when you pay a fee called a premium to an insurance company.

Insurance has existed in some form or other since 3000 BC. Amicable Society for a Perpetual Assurance founded in 1706 in London is considered to be the first life insurance company in the world.

History of Insurance in India :

India: Modern insurance in India began in early 1800 or thereabouts, with agencies of foreign insurers starting marine insurance business.

- The Oriental Life Insurance Co. Ltd : The first life insurance company to be set up in India was an English company
- Triton Insurance Co. Ltd. : The first non-life insurer to be established in India
- Bombay Mutual Assurance Society Ltd. : The first Indian insurance company. It was formed in 1870 in Mumbai
- National Insurance Company Ltd. : The oldest insurance company in India. It was founded in 1906

Many other Indian companies were set up subsequently as a result of the Swadeshi movement at the turn of the century.

a. The Insurance Act 1938 was the first legislation to regulate the conduct of insurance companies in India. This Act, as amended from time to time continues to be in force.
b. Life insurance business was nationalised on 1st September 1956 and the Life Insurance Corporation of India (LIC) was formed. From 1956 to 1999, the LIC
held exclusive rights to do life insurance business in India.
c. In 1972, the non-life insurance business was also nationalised and the General Insurance Corporation of India (GIC) and its four subsidiaries were set up.
d. The Malhotra Committee, in its report submitted in 1994, recommended opening of the market for competition
e. The Insurance market was liberalised in 2000, with the passing of the Insurance Regulatory & Development Act, 1999 (IRDAI), which also established the
Insurance Regulatory and Development Authority of India (IRDAI) in April 2000 as a statutory regulatory body for the insurance industry.
f. An amendment of the Insurance Act in 2021, has allowed Foreign investors, to hold up to 74% of the paid up equity capital in an Indian Insurance company. Foreign insurers can now establish branches in India to do reinsurance.

a. Insurance industry today (As on 30th September 2021)

- There are 24 Life insurance companies operating in India. Of these, Life Insurance Corporation (LIC) of India is a public sector company (PSU) and the remaining 23 life insurance companies are in the private sector.
- There are 34 General Insurance companies of which 4 - National Insurance Co. Ltd, The New India Assurance Co. Ltd., The Oriental Insurance Co. Ltd and United India Insurance Co. Ltd. are PSU Companies dealing with all lines of general insurance. 26 Private Companies also deal with all lines of general insurance. 6General Insurers deal only in Health insurance. 2 are specialised insurers - Agricultural Insurance Company [AIC] and Export Credit and Guarantees Corporation [ECGC], both set up as Public sector entities.
- There is one Reinsurance Company – The General Insurance Corporation of India [GIC Re] and 11 foreign Reinsurers that operate through branch offices.
- The Department of Posts (called as India Post) of the Government of India, also transacts life insurance known as Postal Life Insurance. India post is exempt from the purview of the Insurance Regulator.

Insurance may thus be considered as a process by which the losses of a few are shared amongst many of those exposed to similar uncertain events/ situations.

There Are Two Main Types of Insurance Policies :→

1. **General Insurance**

   General insurance shields your precious assets and sudden contingencies. General insurance does not cover life, as in life insurance, but it deals with protection against everything else: your health, your vehicles, your home, or even your travel plans.

   Here's how general insurance helps:

- If you fall sick, health insurance covers your medical bills
- If your car meets with an accident, car insurance pays for repair costs.
- If your house faces damage from fire or natural calamities, home insurance steps in.
- If your luggage is lost during a trip, travel insurance has your back.

General insurance policies are typically short-term, renewed annually, and offer financial security for specific risks. They are essential for avoiding hefty expenses that could disrupt your finances.

2. **Life Insurance**

While general insurance products covers things, life insurance covers lives. It protects your family in case something were to happen to you. It's less about you and more about the people who depend on you. Life insurance pays out a lump sum to your family in the event of your death during the policy term. This can help your family cover their expenses, pay off their debts, or simply maintain their lifestyle in your absence.

Let's take a few examples:

- Term Life Insurance provides pure life cover at reasonable prices
- Whole Life Insurance stays with you throughout your lifetime and can even build cash value
- ULIPs combine life cover with investment
- Pension Plans ensure a regular post-retirement income

Life insurance is a long-term commitment, usually for several decades. It's not just about emergencies but to achieve life goals such as funding your child's education, buying a house, or enjoying a stress-free retirement.

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4 Types of General Insurance

1. **Health Insurance**

Health insurance literally and financially comes to the rescue when there are any medical emergencies. It covers the cost of hospitalization, consultation fees of doctors, medicines, surgery, and sometimes even preventive health checkups. Some health insurance policies also have critical illness cover that covers life-threatening diseases such as cancer or heart-related ailments with a lump sum.

Why It's Important:
Medical expenses have gone through the roof, and one visit to the hospital may burn a hole in your pocket. Health insurance ensures you and your family get the best possible care without being scared of the bills.

2. **Motor Insurance**

   If you have a car or a bike, then according to Indian law, you are bound to get motor insurance. Other than the fact that it is a legal bind, it is financial protection against accidents, theft, and other natural calamities.
   There are two types:

   - Third-Party Insurance: This covers the damages caused by your vehicle to another person or their property.
   - Comprehensive Insurance: This includes third-party insurance and protects your vehicle from damage, theft, or any natural calamity.

   Why It's Important:
   An accident may occur at a time; repairs or even legal liabilities can cost fortunes. A good motor insurance policy saves you from such sudden expenses.

3. **Home Insurance**

   Your house is not just a building; it's a living place for memories and valuables. Home insurance is a cover that protects the house and its contents against hazards like fire, theft, floods, earthquakes, or vandalism. A few even cover the cost of alternative stay arrangements if the home is rendered uninhabitable by damage.

   Why It's Important:
   These above disasters and burglaries may result in high financial and

emotional stress. Home insurance keeps you financially secure during rebuilding or repairs without using your savings account.

4. **Travel Insurance**

   Travelling is indeed full of excitement, but it may also bring some unpleasant surprises, such as flight delays, lost baggage, or problems with your health. Travel insurance will cover all such inconveniences while travelling domestically or internationally.

   Travel insurance covers:

   - Medical expenses on the journey
   - Flight cancellation or missed connections reimbursement
   - Lost or stolen baggage compensation
   - Emergency evacuation, repatriation

   Why It's Important: Whether a minor hiccup or a gigantic crisis, travel insurance keeps your journey from being completely thrown off kilter.

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6 Types of Life Insurance

1. **Term Life Insurance**

   How term life insurance works is very simple and affordable: the coverage is provided for a certain period of time, say 10, 20, or 30 years. In case something happens to you during this period of time, your family receives one lump-sum payout, also referred to as a death benefit. But if you outlive the policy, there is no payout at all.

   Why Choose It:
   It's the most affordable type of life insurance, offering high coverage at a low premium.
   Suited for young professionals and families seeking protection of income during crucial earning years.

   It covers major expenses such as loans, mortgages, and your family's living expenses in your absence.

2. **Whole Life Insurance**

   As the name states, whole life insurance covers you for your whole lifetime, provided you pay the premiums. Unlike term insurance, it contains an investment or savings component; hence, you are likely to get a living benefit in cash value or bonus.

   Why Choose It:

   - It offers lifelong protection and financial security to your dependents.
   - It assists in long-term planning, estate creation, or leaving behind a legacy.
   - Can be used as an emergency fund due to its cash value.

3. **Endowment Plans**

   The endowment plan is a life insurance policy combined with savings. It offers financial security to your family upon your sudden death, but it also provides a lump sum after the policy term if one outlives it.

   Why Choose It:

   - Ideal for those who wish to build a corpus for future needs such as education or buying a house.
   - It is a dual-benefit insurance product that offers guaranteed returns along with life coverage.
   - Many people who want safety and prefer non-market-linked investments go for this.

4. **Unit-Linked Insurance Plans (ULIPs)**

   ULIPs fall under life insurance, combining both a benefit in nature and an investment return, wherein one portion of the premium pays for life cover while the remaining goes for investment into market instruments such as equities or bonds. The returns, hence, become market-linked-performance-oriented: protection and growth both together.

   Why Choose It:

   - Good for those comfortable with market risk and willing to grow.

- Helps long-term financial goals such as the creation of wealth, funding education, or retirement planning.
- Can switch between equity and debt investments depending upon your risk appetite.

5. **Child Plans**

   A child plan is specifically aimed at securing your child's financial future. These plans ensure that funds are available for significant milestones like higher education, even if you are not there. Many child plans offer periodic payouts, ensuring money is available at critical stages of your child's growth.

   Why Choose It:

   - The best that a parent can give to their children, and the plan ensures that the dreams are secured financially.
   - Ensures that your child's education or any other plans are not compromised due to unforeseen eventualities.
   - The options for partial withdrawals to meet expenses at different stages of life are also included.

6. **Pension Plans**

   Pension plans, more colloquially known as retirement plans, go to make a nest egg for your post-retirement years. The plan gives you the opportunity to save throughout your working years and, post-retirement, regular payoffs on fixed dates so that regular income is assured.

   Why Choose It:

   - Maintains lifestyle and financial independence even during retirement life.
   - Provides monthly income to meet day-to-day expenses and medical requirements during non-earning years.
   - Helpful to those who do not enjoy their employer's pensions or some other forms of retirement plan.

In addition to the above, there is crop insurance for farmers, marine insurance for businesses, and liability insurance for professionals.

How to Choose the Right Insurance Policy?

- Know Your Needs: Is your objective the protection of your health, family, or assets? Start there.
- Compare Options: Check out the premiums, benefits, and coverage using online tools.
- Check the Fine Print: Understand what is covered and what is not. This step is not to be missed.
- Review Regularly: Life changes. Make sure your insurance keeps up with your needs.
- Seek Professional Help: Get an insurance adviser to clarify the confusion.

Terms →

1. **Actual Cash Value (ACV)**

   Actual Cash Value (ACV) means the value of insured property at the time it is being replaced. When determining ACV, depreciation is taken into consideration because certain property such as automobiles and electronics loses value over time.

   Because of depreciation, the actual cash value of an item will often be lower than its replacement cost.

   For example, if an insured item has lost value over time, the amount representing its current value may be less than the amount needed to purchase a new replacement.

   Remember:
   Actual Cash Value = Current value after considering depreciation

2. **Appraisal**

   An appraisal is the process of examining property to determine how much it is worth. The property could be a car, house, jewelry, fine art, or collectibles, and factors such as existing damage can be considered when determining its value.

   An appraisal is useful to both the policyholder and the insurance carrier. The policyholder gets a better understanding of the property's value and therefore how much coverage may be appropriate, while the carrier can verify that the property's insured value is appropriate.

   Remember:
   Appraisal = Process of determining the value of property

3. **Claim**

   An insurance claim is a request for compensation made by the policyholder to the insurance carrier. When a covered event causes damage to insured property and the policyholder contacts the carrier asking for help with the cost, the policyholder is submitting a claim.

   Therefore, a claim generally occurs after some loss or damage that the policyholder believes is covered by the insurance policy. The carrier receives the claim and handles the request according to the policy.

   Remember:
   Claim = Request for compensation from the insurance carrier

4. **Conditions**

   Conditions, also called policy conditions, are the parts of an insurance policy that describe the duties and responsibilities of both parties. This means they explain what the policyholder is responsible for and what the insurance carrier is responsible for.

   Conditions are therefore an important part of the insurance policy because they establish responsibilities that guide the relationship between the insured and the carrier.

   Remember:
   Conditions = Duties and responsibilities of the policyholder and carrier

5. **Covered Event**

   A covered event is an incident that causes damage to insured property and triggers payment from the insurance carrier when a claim is submitted. In simple terms, it is an event against which the insurance policy provides protection.

   However, not every event is automatically covered. The policy specifically identifies the events that are covered and those that are not, so the policyholder needs to understand the policy's coverage.

   Remember:
   Covered Event = An event that the insurance policy provides protection against

6. **Deductible**

   A deductible is the amount that the policyholder has to pay out of pocket when a covered loss occurs before the insurance policy covers the remaining amount of the bill.

   A deductible can be either a fixed dollar amount or a percentage of the cost, depending on the policy. It is typically applied on a per-claim basis, meaning that if a person makes one claim this month and another claim next month, they may have to pay the deductible for both claims.

   Example from the concept:
   Suppose a covered loss results in a bill of $5,000 and the policy has a $1,000 deductible.
   The policyholder pays:
   $1,000
   The policy then covers the remaining amount according to the policy.

   Remember:
   Deductible = Amount paid by the policyholder before the policy covers the rest

7. **Endorsement**

   An endorsement is additional insurance protection added to a base insurance policy. It can either increase the existing coverage limits or provide protection against additional types of events that aren't covered by the base policy.

Endorsements can also be called riders, add-ons, or floaters. The material gives earthquake insurance as an example of an endorsement that can be added to a homeowners insurance policy.

Remember:
Endorsement = Additional protection added to the base policy

8. **Exclusion**

   An exclusion identifies situations in which the policyholder will not be able to file a covered claim under the policy. It may specifically identify certain hazards, perils, or events that aren't covered.

   An exclusion can also limit the types of property covered by the policy. Therefore, understanding exclusions is important because simply having an insurance policy does not mean that every possible event or type of damage is covered.

   Remember:
   Exclusion = What the insurance policy does NOT cover

9. **Hazard**

   A hazard is anything that increases the likelihood of experiencing a loss. If an insurance carrier believes that a hazard exists, it can affect the cost of insurance and may result in higher premiums.

   The material gives examples such as living in an area where crime is common or having a swimming pool. These circumstances may increase the likelihood of a loss and therefore can affect the insurance premium.

   Remember:
   Hazard = Something that increases the likelihood of loss

10. **Insurance Agency**

    An insurance agency is a company or individual authorized by an insurance company to sell that company's policies. An agency essentially connects people looking for insurance with insurance companies that provide insurance policies.

According to the material, agencies do not underwrite or originate insurance policies; they connect customers with insurance companies, generally for a fee or commission paid by the insurance company. An independent insurance agent can sell policies from multiple insurance companies, whereas an exclusive agent sells policies from only one insurance company.

Remember:
Insurance Agency = Connects customers with insurance companies

11. **Insurance Carrier**

    An insurance carrier is the business that ultimately sells and underwrites the insurance policy. It is also commonly referred to as an insurance company.

    When a person purchases insurance, the premium is paid to the carrier, and when the person needs to make a claim, the claim is submitted to the carrier. Therefore, the carrier is the actual insurance company responsible for the policy.

    Remember:
    Insurance Carrier = The company that sells and underwrites the insurance policy

12. **Limit**

    A policy limit is the maximum amount of money that an insurance carrier will pay for a particular type of claim. The limits are specified in the terms of the insurance policy.

    The amount of coverage a person chooses can affect the premium. Generally, according to the material, higher limits mean higher premiums, because the policy provides additional coverage.

    Remember:
    Limit = Maximum amount the carrier will pay

13. **Loss**

    A loss is essentially the reason why a policyholder files an insurance claim. It generally refers to covered damage or destruction involving insured property.

    For example, damage or destruction involving a home, automobile, or collectible can represent a loss. When such a loss is covered by the insurance policy, the policyholder may submit a claim to the carrier.

    Remember:
    Loss = The damage or destruction that leads to a claim

14. **Mitigation**

    Mitigation means taking steps to reduce the risk of a loss. In other words, instead of simply accepting a potential risk, the policyholder takes measures that make a loss less likely.

    Examples from the material include storm-proofing a home or installing a security system in a car. Because these measures can reduce the likelihood of needing to make a claim, efforts to mitigate risk can sometimes result in reduced premiums or discounts.

    Remember:
    Mitigation = Actions taken to reduce the risk of loss

15. **Named Peril**

    A named peril is a type of damage or loss caused by an event that is specifically listed in the insurance policy. If an event is named in the policy as a covered peril, the policy provides protection against that specified event, subject to the policy terms.

    The material lists examples such as:

    - Fire or lightning
    - Windstorm or hail
    - Explosion
    - Riot or civil commotion
    - Aircraft

- Vehicles
- Smoke
- Vandalism and mischief
- Theft
- Volcanic eruptions
- Weight of ice or snow
- Accidental overflow or discharge of water or steam
- Freezing
- Falling objects

The important point is that the peril is specifically named in the policy.

Remember:
Named Peril = A specifically listed event covered by the policy

16. **Policy**

An insurance policy is a legal contract between the insured person and the insurance carrier from which the person purchased coverage.

The policy contains the important terms and conditions governing the insurance coverage.

These can include the:

- Premium
- Deductible
- Limits
- Exclusions
- Named perils
- Endorsements
- Conditions

Therefore, the policy is the central document that explains the relationship between the policyholder and the insurance carrier and establishes what the insurance coverage involves.

Remember:
Policy = Legal contract defining the insurance coverage and its terms

17. **Premium**

    A premium is the amount of money the policyholder pays to the insurance carrier to purchase insurance. Depending on the policy, premiums can be paid monthly, annually, or semiannually.

    The premium is separate from the deductible. Paying a premium does not contribute toward satisfying the deductible.

    The material also states that a premium can sometimes be referred to as a rate.

    Remember:
    Premium = Money paid to the carrier to purchase insurance